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MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-BBA (HONOURS) REGULAR EXAMINATION OCTOBER 2025
THIRD SEMESTER
Disciplinary Elective (MDE) - MG3MDEBBA200 - LEGAL AND ETHICAL ISSUES IN BUSINESS
(2024 ADMISSION ONWARDS)

Duration: 1Hour 30 Minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)
Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

PART A

Long Essay Questions (A Choice between two options for each question-answer five long essay questions, one from each pair

1a.Explain actual breach and anticipatory breach in detail. [U, C0 1]

1. Actual Breach
   - Definition: It occurs when a party fails to perform their contractual obligation on or after the date of performance.
   - Timing: Happens at the time performance is due.
   - Cause: The party does not fulfill their promise as stated in the contract.
   - Example: A supplier who has received payment but fails to deliver goods by the agreed date commits an actual breach.
   - Remedy: The aggrieved party may demand performance, claim damages, or take legal action for compensation.
2. Anticipatory Breach
   - Definition: It occurs when one party clearly indicates, through words or conduct, before the due date, that they will not perform their contractual obligations. It is also called a *constructive breach*.
   - Timing: Occurs before the performance date arrives.
   - Cause: The defaulting party gives advance notice—explicitly or implicitly—of non-performance.
   - Example: A builder informs the client before the deadline that they are going out of business and cannot complete the project.
   - Remedy: The non-breaching party can immediately terminate the contract or seek remedies without waiting for the performance date, allowing them to minimize potential losses.

Key Difference:

- Actual breach occurs *on or after* the date of performance, while anticipatory breach occurs *before* the date of performance.

or

1b. Explain the various types of special contracts in brief.[U, C0 1]

A. Types of Contracts

1. Valid Contract: Legally enforceable agreement with all essential elements.
2. Void Contract: Not enforceable by law; has no legal effect.
3. Voidable Contract: Enforceable at the option of one party only.
4. Illegal Contract: Forbidden by law; punishable and void.
5. Unenforceable Contract: Cannot be enforced due to technical defects (e.g., lack of stamp or signature).

B. Special Contracts

1. Indemnity: One party compensates another for a loss.
2. Guarantee: A third party assures performance or payment if another fails.
3. Bailment: Temporary transfer of goods for a specific purpose.
4. Pledge: Bailment of goods as security for a debt.
5. Agency: One person (agent) acts on behalf of another (principal).

Value liberally.

2 a. Define consideration in contract law. What are the requirements for valid consideration, and how does it impact the enforceability of a contract? [K, CO 1]

Consideration is a fundamental element of a valid contract, representing the "price of the promise"—the value exchanged between parties. This mutual exchange, also known as quid pro quo, ensures that a contract is a bargained-for transaction rather than a gratuitous promise. Consideration can take many forms, including:

- A promise: A promise for a future act or forbearance.
- An act: The performance of an act.
- An abstinence or forbearance: Refraining from doing something one has a legal right to do.

Core Requirements

1. At Promisor's Desire: The act or abstinence must be done at the promisor's request, not voluntarily or at a third party's request.
2. Legal Value (Not Adequate): Must have legal value but need not be equal; even a nominal item (peppercorn theory) is valid.
3. Real, Not Illusory: Must be possible, certain, and definite—not vague or impossible.
4. Lawful: Must not involve illegal, immoral, or prohibited acts.
5. Not a Pre-existing Duty: Doing what one is already bound to do is not valid consideration, unless a new benefit arises.
6. Past, Present, or Future: May be past (under Indian law), executed (present), or executory (future).

Exceptions (Valid Without Consideration)

1. Natural Love and Affection: Written and registered agreement between close relatives.
2. Past Voluntary Services: Promise to compensate a past voluntary act.
3. Time-Barred Debt: Written promise to repay an old, time-barred debt.
4. Promissory Estoppel: Enforced if the promisee relied on the promise to their detriment.

Impact on Enforceability

- Essential Element: Contract without consideration is void (nudum pactum).
- Ensures Mutual Obligation: Confirms both parties are bound by promises.
- Invalid Consideration: If illegal or illusory, the contract becomes unenforceable.

OR

2b.Explain discharge of contract by impossibility of performance. **[U, C0 1]**

Meaning:

The doctrine allows a contract to be discharged when an unforeseen and uncontrollable event makes performance objectively impossible or meaningless. It is known as the Doctrine of Frustration in common law. The principle is based on "Lex non cogit ad impossibilia" — the law does not compel a person to do the impossible.

Grounds for Discharge by Impossibility

1. Destruction of Subject Matter:
   If the essential subject matter is destroyed without fault of either party.
   Example: Taylor v. Caldwell (1863) – music hall destroyed by fire.
2. Change of Law:
   A new law or government order makes the performance illegal.
   Example: Export contract becomes void if the government bans exports.
3. Death or Incapacity:
   When a contract depends on personal skill, and the person dies or becomes incapable.
   Example: Artist dies before completing a commissioned painting.
4. Non-occurrence of Event:
   If the foundation event of the contract fails to occur.
   Example: Krell v. Henry (1903) – coronation procession postponed.
5. Declaration of War:
   War between contracting countries makes performance illegal or impossible.

3.a What do you mean by "suit for price" and "suit for damages for non-acceptance"? How do these remedies protect the unpaid seller? [U, C0 2]

Both "suit for price" and "suit for damages for non-acceptance" are personal remedies available to an unpaid seller under the Sale of Goods Act, 1930 when a buyer breaches a sales contract. They apply in different situations and protect the seller's financial interests.

1. Suit for Price (Section 55)

Meaning:

A legal action by the seller to recover the full agreed price of the goods from the buyer.

When Available:

- Ownership of the goods has passed to the buyer, but the buyer refuses to pay; or
- The contract specifies that payment is due on a fixed date, even if ownership has not passed.

Purpose:

To recover the entire contract price for goods sold or agreed to be sold.

2. Suit for Damages for Non-Acceptance (Section 56)

Meaning:

An action by the seller to claim compensation for loss due to the buyer's wrongful refusal to accept and pay for the goods.

When Available:

- The buyer refuses to accept and pay for the goods, and
- Ownership of the goods has not yet passed to the buyer.

Calculation of Damages:
Usually the difference between the contract price and the market price of the goods at the time of the buyer's breach.

3. How These Remedies Protect the Unpaid Seller

Feature	Suit for Price	Suit for Damages for Non-Acceptance
Purpose	To recover the full contract price.	To recover compensation for loss from buyer's refusal.
Prerequisite	Ownership passed, or price due on a fixed date.	Buyer refused goods; ownership not passed.
Action	Seller sues for the contract price.	Seller sues for the difference between contract and market price.
Protection	Ensures seller gets payment when buyer owns goods but refuses to pay.	Compensates seller when buyer's refusal causes financial loss.

OR

3b.Define a Cheque as per Section 6 of the Negotiable Instruments Act. Explain its essential features and types [U, C0 2]

A cheque is a written order by an account holder (drawer) instructing their bank (drawee) to pay a specified sum of money to a person (payee) or to themselves, on demand.

Essential Features of a Cheque

1. Written Instrument: Must be in writing (handwritten, printed, or typed).
2. Unconditional Order: Directs a bank to pay a specific sum unconditionally.
3. Drawn on a Specific Bank: Must be drawn on a particular banker where the drawer holds an account.
4. Payable on Demand: Payment is due immediately upon presentation (unless post-dated).
5. Signed by Drawer: Must bear the signature of the account holder (drawer).
6. Certain Sum of Money: Amount must be clearly stated in words and figures.
7. Payable to a Certain Person: Must name the payee (or self).
8. No Acceptance Required: Bank's acceptance is not needed for validity.
9. No Stamp Required: Cheques do not require a revenue stamp in India.

Types of Cheques

A. Based on Transfer or Presentation

1. Open (Bearer) Cheque: Payable to whoever holds and presents it. Transferable by delivery.
2. Crossed Cheque: Cannot be encashed over the counter; must be deposited into an account.
    - General Crossing: Two parallel lines (may include "& Co." or "Not Negotiable").

- Special Crossing: Mentions a specific bank between the lines.
- Account Payee Crossing: Contains "Account Payee Only"; payable only to the named payee.
- Not Negotiable Crossing: Transfer allowed, but transferee gets no better title than transferor.

B. Based on Usage or Date

1. Order Cheque: Payable to a named person or their order; needs endorsement for transfer.
2. Post-Dated Cheque: Dated for a future day; payable only on that date.
3. Ante-Dated Cheque: Dated earlier than issue date; valid for 3 months from the written date.
4. Stale Cheque: Presented after 3 months — no longer valid.
5. Banker's Cheque: Issued by a bank on its own account; guaranteed payment; non-negotiable.
6. Self Cheque: Drawer writes cheque in their own name to withdraw cash from their account.

4a. State the rules relating to the passing of ownership from seller to buyer in a contract of Sale of Goods [K, C0 2]

Ownership determines who bears risk, rights, and liabilities if goods are lost or damaged. It depends on parties' intentions and the type of goods.

1. Specific Goods
   - Definition: Identified and agreed upon at the contract.
   - Rule: Passes according to parties' intention.
   - Default:
     - Deliverable goods → ownership passes when contract is made.
     - Goods need preparation/price fixing → passes after preparation and buyer notification.
2. Unascertained Goods
   - Definition: Not identified at contract time.
   - Rule: Passes when goods are unconditionally set aside for the contract with consent.
   - Examples: Seller sets aside goods, buyer selects from stock, or delivery to carrier without reserving disposal rights.
3. Goods Sent on Approval / "Sale or Return"

Ownership passes when buyer:

- Approves the goods; or
- Acts as owner; or
- Retains goods beyond agreed/reasonable time without rejection.

OR

4b.Compare and contrast sale and agreement to sell with respect to risk and ownership[U, C0 2]

Aspect	Sale	Agreement to Sell
Ownership / Transfer	Ownership transfers immediately upon completion of contract.	Ownership remains with seller until a future date or condition is met.
Right to Goods	Buyer has full ownership rights; can use, sell, or dispose of goods.	Buyer has only a contractual right to obtain ownership later.
Nature of Contract	Executed contract – transfer of property completed.	Executory contract – transfer of ownership yet to happen.
Insolvency	Goods belong to buyer; cannot be claimed by seller's	Goods still belong to seller; can be claimed by creditors.

Aspect	Sale	Agreement to Sell
	creditors.	

Risk Elements.

Aspect	Sale	Agreement to Sell
Timing of Risk	Risk passes to buyer at the time of sale, even if goods are not delivered.	Risk remains with seller until ownership transfers.
Legal Principle	*Res perit domino* – loss falls on owner (buyer).	Seller bears accidental loss; buyer not liable if goods are destroyed before transfer.
Breach of Contract	Party at fault responsible for loss, regardless of ownership.	Same principle applies for fault-based loss.

5a. Bais in performance appraisal affect employee morale and organisational ethics.Comment? [K, C0 3]

Award maximum marks for answered with general concepts.

Bias in performance appraisals occurs when evaluations are influenced by personal preferences, stereotypes, or unrelated factors rather than actual performance. It negatively affects both employee morale and organizational ethics.

1. Impact on Employee Morale

- Perception of Unfairness: Employees feel appraisals are based on gender, race, or favoritism, creating a sense of injustice.
- Reduced Motivation and Engagement: Unrecognized effort or unequal treatment leads to demotivation and lower productivity.
- Increased Stress and Anxiety: Fear of biased reviews affects mental health.
- Erosion of Trust: Employees lose confidence in management and the appraisal process.
- Higher Turnover: Demoralized employees leave, increasing recruitment and training costs.

2. Impact on Organizational Ethics

- Reinforcement of Inequality: Bias perpetuates discrimination and hinders career growth for underrepresented groups.
- Poor Decision-Making: Distorted performance data leads to wrong choices in promotions, training, and resource allocation.
- Damaged Culture: Favored treatment fosters distrust, resentment, and reduced collaboration.
- Legal and Reputational Risks: Biased appraisals can result in discrimination claims and negative publicity.
- Hypocrisy in Leadership: When DE&I (diversity ,equity and inclusion) values are not reflected in appraisals, employees perceive leadership as insincere.

3. Mitigating Bias in Performance Appraisals

- Standardize Evaluation Criteria: Use clear, objective, and specific standards for all employees.
- Train Evaluators: Conduct bias-awareness and mitigation training for managers.
- Implement Multi-Rater Feedback: Use 360-degree reviews for balanced assessment.
- Continuous Feedback and Documentation: Provide regular feedback and maintain performance records throughout the year.
- Calibrate Reviews: Managers discuss ratings to ensure fairness across teams.
- Promote Self-Assessment: Allow employees to evaluate their own performance to highlight

discrepancies.

5b.Explain the ethical concerns related to privacy and data collection in online marketing? [U, C0 3]

1. Ethical Concerns in Privacy and Data Collection in Online Marketing
2. Lack of Transparency: Companies often fail to clearly explain what data is collected, how it is used, and with whom it is shared.
3. Informed Consent Issues:
   Users may agree to complex, lengthy privacy policies without fully understanding them.
   Many platforms use opt-out tracking instead of explicit opt-in, undermining true consent.
4. Potential Misuse of Data: Collected data can be exploited for manipulation, discrimination, or targeted persuasion, harming users.
5. Breach of Trust: Mismanagement or hidden use of personal information erodes consumer confidence in businesses and online platforms.
6. Discrimination and Exploitation: Data analytics can lead to unfair targeting or exclusion of certain user groups.

(5*10= 50)

Scheme of answer

Quality of Answer	Description	Marks Range
Excellent	5–10 well-explained points; full pages (approx. 2); good intro & conclusion; examples used	**9–10 marks**
Very Good	Fewer points (4–6) but each well explained with examples; neat presentation (at least one page)	**7–8 marks**
Fair Attempt	Partially correct; fair explanation; lacks structure or examples	**5.5–6 marks**
Below Average	Few points; incomplete, vague or irrelevant content	**4-5 marks**
Poor	Minimal response or mostly incorrect	**< 3 marks**

Award up to 7 marks even if the number of points is few but explanation and understanding are strong. Quality of explanation and examples can increase marks even if quantity is low. If the answer shows conceptual understanding but lacks elaboration due to time, award marks generously.Expect a liberal approach in valuation.

Scheme Prepared by:

Jithesh K S
Assistant Professor
MES College erumely
8606845479